

Required Assignment 5.2 - A Report for the CEO

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Executive Summary

Servitisation shifts the automobile business from a one-time vehicle sale to an ongoing, usage-based service relationship. In the experience economy, the vehicle becomes the entry point to a wider service model, and data becomes the foundation for pricing, personalization, maintenance, and customer engagement.

The automotive industry is still early in this shift. Global OEMs have experimented with subscription, pay-per-use, and features-on-demand models, but results have been mixed: Mercedes-Benz suspended Collection, Ford sold Canvas, and JLR relaunched Pivotal. The lesson is not that servitisation lacks value. The lesson is that the operating model, data platform, pricing logic, and customer proposition must mature together.

For Maruti Suzuki, the opportunity is practical. Its scale, trusted brand, dealer and service network, finance arm, used-car channel, and close to half of India's passenger-vehicle market share give it a strong base. To make Maruti Subscribe work at scale, Maruti must transform these existing strengths into a service operating model while building new capabilities in connected vehicles, data platforms, AI/MLOps, usage-based billing, privacy, and digital talent.

CEO Recommendation

Maruti should treat Subscribe as a strategic servitisation platform, not only as a financing or leasing product. The recommended path is to pilot connected subscription fleets in major metros, build the data, AI, and usage-based billing foundation, partner for connectivity and insurance, and scale through the existing dealer and service network.

1. How Digital Servitisation Will Impact the Automotive Industry

Digital servitisation changes three things at once: the business model, the customer relationship, and the service offering. Data and AI make this shift operationally possible.

Business models

Revenue moves from a single transaction at the point of sale to recurring, usage-based, and outcome-linked streams. Examples include subscription programs such as Care by Volvo and Maruti Subscribe, pay-per-use models, and features-on-demand such as heated seats or connected features. Cross-industry examples such as Xerox pay-per-page and Rolls-Royce Power-by-the-Hour show that servitisation can become a durable revenue model when pricing, operations, and service reliability are designed together.

Customer relationships

Traditional ownership is transactional: sell the vehicle and rely on dealer-led service moments. Servitisation makes the relationship continuous, data-rich, and lifecycle-based. The OEM gains a direct view of usage, service needs, preferences, and renewal potential. Even pilots that did not

scale, such as Mercedes-Benz Collection, generated valuable customer data on younger subscriber segments.

Service offerings

The product becomes bundled with insurance, maintenance, repairs, roadside assistance, upgrades, and digital services under one recurring payment. Over time, services can move toward experiences: gamified driving, predictive maintenance, connected features, proactive service alerts, and personalized mobility bundles.

2. AI's Role in Digital Servitisation in the Indian Automotive Market

In India, AI is what turns connected-vehicle and customer data into services customers will pay for, while keeping the economics workable in a price-sensitive, high-volume market. The most important applications are:

- Usage-based pricing and telematics scoring - AI can score driving behaviour, distance, location, and usage patterns to price subscriptions and insurance more accurately.
- Predictive maintenance and digital twins - Anomaly detection on sensor data can flag faults before breakdowns, improving fleet availability and reducing service cost.
- Personalization and cross-sell - Recommendation models can match customers to the right plan, accessory, feature, upgrade, or service package.
- Credit and risk scoring - AI can assess subscription eligibility for thin-file Indian customers using responsible alternative data.
- Residual-value and remarketing models - Used-vehicle value prediction supports buy-back, resale, fleet rotation, and the economics of subscription vehicles.
- Generative-AI customer service - Multilingual conversational assistants and agent augmentation can manage high service volumes while lowering cost to serve.

India-specific accelerators make this viable now: low-cost mobile data, widespread smartphone adoption, UPI and digital payments, a younger urban customer base, and rising comfort with access-based models. For Maruti, the advantage is not only digital capability. It is the ability to combine digital capability with mass-market reach and a trusted physical service network.

3. Digital Technologies, AI Systems, and Data Infrastructure Required

Servitisation cannot be scaled without technology and data foundation. Usage must be measured, priced, predicted, billed, protected, and improved continuously. Four layers are essential:

- Connected-vehicle layer - IoT sensors, telematics control units, embedded cellular connectivity such as eSIM and 4G/5G, and selective edge compute. This makes vehicle usage visible and billable.
- Data platform - Real-time ingestion, streaming pipelines, a data lake, a feature store, data quality controls, consent management, and governance aligned to India's DPDP Act. This converts raw data into usable enterprise intelligence.

- AI/ML systems - Predictive maintenance, telematics scoring, recommendation, residual-value prediction, and generative-AI service models, operated through production MLOps with monitoring, retraining, model governance, and auditability.
- Commercial platform - Usage-based rating and billing, digital marketplace, subscription lifecycle management, and integration with dealers, CRM, finance, insurance, service partners, and the used-car channel.
- Cybersecurity and privacy layer - Identity, access control, encryption, data minimization, consent tracking, and secure APIs. This is essential because connected-vehicle and customer data can become a trust risk if not governed from the start.

These elements are interdependent. Sensors and connectivity generate the data. The platform makes it reliable. AI turns it into prediction and personalization. The commercial layer captures value. Governance and cybersecurity protect trust.

4. Applying the 5V Business Model to Maruti Subscribe

Module 5 frames a business model as five interdependent dimensions — the 5Vs: Value Segment, Value Proposition, Value Creation, Value Delivery, and Value Appropriation. Servitisation does not change one of these in isolation; it changes all five together, which is why a product-only model cannot simply bolt on a subscription. Applied to Maruti Subscribe, with particular focus on Value Creation, Value Delivery, and Value Appropriation as required:

5V Dimension	Application to Maruti Subscribe
Value Segment	B2C: young, urban, millennial, and flexibility-seeking customers who want access without a large upfront purchase. B2B: insurers seeking telematics data, corporate and fleet customers, and the used-vehicle channel. Maruti's scale gives it an unusually large addressable base.
Value Proposition	A hassle-free mobility bundle: one monthly payment covering vehicle, insurance, maintenance, repairs, and flexibility to upgrade or exit. For partners, the proposition is data-led insight into usage, risk, and customer behaviour.
Value Creation	Maruti creates value by orchestrating its dealer network, service network, finance arm, insurance partners, True Value used-car channel and connected-vehicle data into one service ecosystem rather than a one-time product sale.
Value Delivery	Delivery requires a reconfigured value chain — in Porter's value-chain terms, both primary and support activities change: connected

5V Dimension	Application to Maruti Subscribe
	vehicles and a data platform become new inbound inputs and operations, a direct digital channel runs alongside dealers, after-sales service becomes proactive and data-fuelled, and an ambidextrous workforce runs both the product and the service businesses.
Value Appropriation	Maruti captures value through subscription fees, usage-based pricing, insurance partnerships, used-vehicle remarketing, feature/accessory cross-sell, and higher customer lifetime value.

Build New Capabilities or Transform Existing Ones?

Maruti should largely transform existing strengths, with a focused set of new builds. Its brand trust, scale, dealer and service network, finance arm, and True Value used-car operation can become the backbone of the subscription business.

At the same time, Maruti must build new capabilities where the traditional product business does not provide enough depth: connected-vehicle telematics, governed data platforms, AI/MLOps, usage-based rating and billing, privacy and consent management, digital marketplace operations, and AI-ready talent. The strategic point is simple: servitisation succeeds only when the business model and the technology operating model change together.

5. Key Execution Risks for the CEO

The opportunity is credible, but the CEO should manage four execution risks deliberately:

- **Customer willingness to pay** - India is price-sensitive. The subscription bundle must show clear value versus ownership, EMI, leasing, or ride-hailing alternatives.
- **Data privacy and consent** - Connected-vehicle and customer data must be handled with explicit consent, strong governance, and alignment to India's DPDP Act.
- **Dealer-channel conflict** - A direct subscription model can create tension with dealers unless they are made part of delivery, service, renewal, and customer-success economics.
- **Residual-value risk** - Subscription economics depends on buy-back, resale, and fleet rotation. Weak used-car value prediction can damage margins.

Conclusion

Digital servitisation is a credible long-term growth path for the automotive industry, and India's connectivity, digital-payment, and demographic conditions make Maruti Suzuki well placed to lead it at mass-market scale.

The recommendation is to treat Maruti Subscribe as a data-and-AI business, not only as a vehicle-financing product. Maruti should pilot connected subscription fleets in major metros, build the data, AI, and billing foundation, partner where speed matters, and scale through the dealer and

service network. Transform what Maruti already does well, build the digital and AI layer it lacks, and use data to convert the product relationship into a lasting service relationship.